formalized by the grant of the ‘Diwani’, or viceroyalty, of Bengal to the EIC by the Mughal emperor Shah Alam in 1765. Through this, the EIC also inherited the monopoly over opium production enjoyed by the Mughal emperor. This was made legal under British law by the EIC Act of 1793, which gave authority to the EIC to grant licences to individuals and EIC employees to trade independently in opium. This is the provision under which opium exports to China were undertaken. The Act was renewed in 1813. Smaller quantities of Indian opium were already being sold in China even before the British arrived on the scene. However, the EIC soon began the auction of opium in Kolkata (Calcutta)which individual traders could then sell for a profit at Guangzhou. It is estimated that from about 15 long tonnes (1 long tonne = 1,016 kg) in 1730, opium exports to China went up to 75 long tonnes in 1773.

Even though import of opium was banned in 1799 by the Jiaqing emperor (who reigned from 1796 to 1820), the trade continued through clandestine means. By 1804, the British had a trade surplus with China. The EIC set up two large factories in Varanasi (Benares) and Patna and was exporting as much as 900 long tonnes (954,000 kg) of opium to China by 1820. Opium was also being grown in Malwa in western India in the present states of Madhya Pradesh and Rajasthan, and this too began to find its way to China by 1820. The Malwa opium was grown in areas that came under the princely states in this region and smuggled to China through the Portuguese-controlled port of Daman, and later through Mumbai (Bombay). The intermediaries in this trade were Indo-Portuguese traders. Rogerio de Faria was one of the most prosperous among them. Opium would be shipped from the port of Diu to the Portuguese enclave of Macao on the southern coast of China, and then shipped to the interior regions of China through Chinese merchants.

Other intermediaries who became rich from the opium trade with China were the Parsis and the Marwaris. Jamsetjee Jejeebhoy was one of the better known among them as he used part of his fabulous wealth for philanthropy. The Sir J.J. School of Art and the J.J. Hospital in Mumbai are the legacy of his opium-derived munificence. The Marwari community was not far